

Source: Credit Suisse

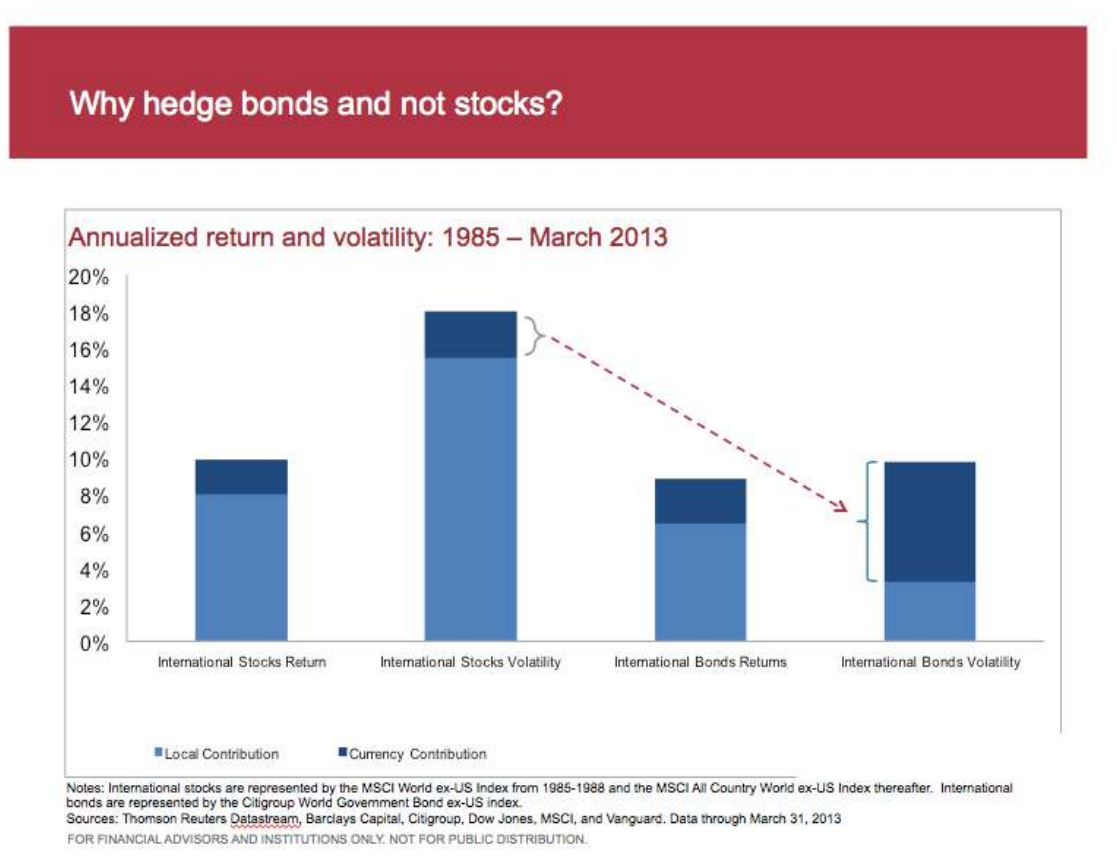
Should I hedge foreign stocks?

We are actually agnostic on this topic, but once you decide on your choice to hedge or not, you should stick with it. Currencies go through periods of under and outperformance, but over time, real currency returns are very stable. The key words being ***over time***.

Should I hedge foreign bonds?

Bonds are a little different. Since sovereign bonds in general have lower volatility than stocks, adding the additional volatility of currency returns doesn't make much sense and therefore hedging foreign sovereign bonds is reasonable. A good Vanguard paper on the topic is "[Global Fixed Income: Considerations for U.S. Investors.](#)"

FIGURE 47 – Hedging Foreign Bonds



Source: Vanguard